

UNITED STATES COPYRIGHT OFFICE

**Section 1201 Study: Request
For Additional Comments**

Docket No. 2015-8

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**Additional Comments of:
Association of American Publishers,
Entertainment Software Association,
Motion Picture Association of America,
Recording Industry Association of
America**

I. Introduction

The Association of American Publishers (“AAP”) is the largest national trade organization of U.S. book and journal publishers, representing over 400 members, ranging from major commercial book and journal publishers to small non-profit, university, and scholarly presses. AAP seeks to promote the effective and efficient protection of copyright to enable publishers and our technology partners to create and disseminate literary, scholarly, and educational works in new and convenient formats for consumers around the world to enjoy.

The Entertainment Software Association (“ESA”) is the United States trade association serving companies that publish computer and video games for video game consoles, handheld gaming devices, personal computers, and the internet. It represents nearly all of the major video game publishers and major gaming platform providers in the United States.

The Motion Picture Association of America, Inc. (“MPAA”) is a trade association representing some of the world’s largest producers and distributors of motion pictures and other audiovisual entertainment material for viewing in theaters, on prerecorded media, over broadcast TV, cable and satellite services, and on the internet. The MPAA’s members are: Paramount Pictures Corp., Sony Pictures Entertainment Inc., Twentieth Century Fox Film Corp., Universal City Studios LLC, Walt Disney Studios Motion Pictures, and Warner Bros. Entertainment Inc.

The Recording Industry Association of America (“RIAA”) is the trade organization that supports and promotes the creative and financial vitality of the major music companies. Its members are the music labels that comprise the most vibrant record industry in the world. RIAA members create, manufacture and/or distribute approximately 85% of all recorded music produced in the United States.

As AAP, ESA, MPAA and RIAA have stated in comments and reply comments in this proceeding, and at the public roundtables, the protections provided in Chapter 12 of Title 17 are extremely important to their members. These protections have enabled the music, publishing, entertainment software, movie, and television industries to bring to market the diverse digital products that millions of consumers enjoy today. Moreover, these protections are an essential component of these creative industries’ plans for the future.

AAP, ESA, MPAA and RIAA appreciate the Copyright Office's careful and thoughtful approach to this proceeding. They also urge the Copyright Office not to recommend any action – legislative or otherwise – that could have the unintended consequence of enabling copyright infringement or deterring investment in new digital entertainment products and business models. The record in this docket demonstrates that Section 1201 has worked well and helped to generate the vibrant digital offerings that Congress sought to incentivize.

Although Ranking Member Conyers of the House Judiciary Committee asked the Copyright Office to consider whether any changes to the statute are necessary, nothing presented to date in two rounds of comments and multiple public roundtables has established that to be the case. The current statute and the triennial rulemaking process already provide the requisite flexibility and protections for both consumers and copyright owners. When a statute of this import has worked so well based on distinctly integrated elements to achieve its objectives, legislative efforts to fix what is not broken will cause more harm than good.¹

II. Response to Notice of Inquiry

During the roundtables conducted by the Copyright Office earlier this year, as well as in filed comments, a notable consensus emerged that the process for the triennial rulemaking should be adjusted to provide for streamlined renewal of previously-granted exemptions, at least where adverse impact on noninfringing uses of the kind previously demonstrated to exist would likely recur in the absence of renewal of the exemption and there is no meaningful opposition to such renewal. *See, e.g.*, Comments of AAP, MPAA, and RIAA at 11-12; *see also* Comments of ESA at 9-10. If the Copyright Office formally adopts a streamlined approach to renewal of previously granted exemptions, then it will be even more evident that the flexibility provided by the rulemaking process is preferable to attempts to make ostensibly permanent changes to the statute through legislation.

¹ The DMCA – including the provisions codified in 17 U.S.C. sections 1201 and 512 – embodies a compromise negotiated at length among all stakeholders, including creators and copyright owners, Internet service and website providers, consumer electronics companies, libraries, and organizations representing the interests of consumers. *See* 144 Cong. Rec. S12376 (Oct. 12, 1998) (statement of Mr. Hatch) (commending the “hard-fought, but ultimately fruitful, private-sector negotiations”). This compromise included securing adequate prohibitions against undermining the integrity of technological protection measures and incentives for service provider cooperation in dealing with the proliferation of infringing material online in exchange for limitations on liability for service providers and the creation of a regulatory process by which consumers, libraries and others could propose new, temporary exemptions to the anti-circumvention prohibitions. *See* 144 Cong. Rec. H7095 (Aug. 4, 1998) (statement of Mr. Goodlatte) (“After a great deal of meetings and negotiation sessions, the copyright community and the service provider community were able to successfully reach agreement. That agreement is included in the bill we are considering today. No one is happier, except maybe those in each community who spent countless hours and a great deal of effort trying to reach agreement, than I am with the agreement contained in this bill.”). We expect the Register– and Congress – to be mindful of this bigger picture when considering how any changes to portions of Section 1201 would affect the delicate balance that the DMCA represents.

The NOI asks whether new “permanent exemptions” should be codified, and then immediately turns to ask what changes, if any, should be made to existing permanent exemptions. *See generally* Section 1201 Study: Request for Additional Comments, 81 Fed. Reg. 66,296 (Sept. 27, 2016). This only highlights the problem with permanent exemptions: their language is likely to become outdated and incapable of keeping up with evolving technology, business practices and marketplace developments. Unlike exemptions that may be renewed, updated, or sunset every three years, if they are perceived to be inadequate, ineffective, or no longer needed, statutory exemptions are difficult to change.

For this reason, legislative action is unlikely to prove capable of addressing with specificity, flexibility, and with lasting impact, any perceived problems – many of which are manufactured, academic or philosophical – with current exemptions. As a result, legislative action is also unlikely to reduce the number of new exemption proposals submitted during triennial proceedings or to reduce the associated workload that these proposals create for the Copyright Office’s staff. Rather than recommending the investment of substantial agency, congressional and stakeholder resources in amending Section 1201, the Copyright Office should remain focused on managing the rulemaking process, which has proven the Office is capable of hearing concerns, assessing their validity and potential solutions, and adopting regulations responsive to changing market and technological developments without excessively harming rights holders in their statutorily-protected use of technological measures.

1. Proposals for New Permanent Exemptions

Although the NOI identifies issues worthy of attention, these issues are better addressed in the context of the rulemaking than through legislation. Congress understood when it created the rulemaking that matters related to how we interact with digital copies of copyrighted works are, by definition, ever-changing. Staff of House Comm. On the Judiciary, 105th Cong., Section-by-Section Analysis of H.R. 2281 as passed by the United States House of Representatives on August 4, 1998, at 6 (Comm. Print 1998) (“Manager’s Report”) (“technology evolves so rapidly that it would be impractical to freeze in time the applicability of these provisions”). That is why a flexible proceeding reconvened every three years is preferable to new legislation.

As discussed above, AAP, ESA, MPAA and RIAA do not oppose the Office adopting a streamlined approach to requests for renewal of existing exemptions, such as those listed in the NOI. The record thus far supports the conclusion that this change in procedure would reduce unnecessary burdens without discarding the benefits offered by the opportunity to reassess marketplace conditions every three years to determine whether exemptions remain necessary or require alterations to retain relevance. The standard for codifying an exemption in the statute should be more rigorous than the standard for granting a temporary regulatory exemption. By creating the rulemaking, Congress acknowledged that few issues justified statutory exemptions and that in most cases a regulatory approach is preferable. But if the Copyright Office nevertheless considers recommending that Congress make some or all of the exemptions mentioned in the NOI permanent, the Office should only do so if the Register is *certain* that legislative changes (i) would not be, as the NOI states, “likely to result in economically harmful unauthorized uses of copyrighted works” and (ii) would “preserv[e] congressional intent in supporting new ways of disseminating copyrighted materials to users[.]” 81 Fed Reg. at 66,297.

2. Proposed Amendments to Existing Permanent Exemptions

As discussed above, altering statutory provisions is unlikely to resolve perceived problems with the existence or application of the anti-circumvention and anti-trafficking prohibitions. Meanwhile, removing existing safeguards from the statute could result in misuse of the newly modified exemptions. AAP, ESA, MPAA and RIAA have serious concerns regarding whether some of the safeguards mentioned in the NOI could be deleted without harming rights holders, undermining the integrity of the systems used by consumers to access entertainment products, and running afoul of international agreements. However, they will review the additional comments submitted by other stakeholders in response to the NOI and offer their more specific views in the context of reply comments. For now, they simply note that Congress included these safeguards for good reasons after careful deliberation and agreement reached through extensive stakeholder negotiations. *See* Manager's Report at 15 ("Recognizing ... that making circumvention information or tools generally available would undermine the objectives of this Act, the [reverse engineering] provision imposes strict limitations."); H.R. Rep. No. 105-551, pt. 2, 105th Cong., 2d Sess., at 44 (July 22, 1998) ("The Committee recognizes that courts may be unfamiliar with encryption research and technology, and may have difficulty distinguishing between a legitimate encryption research[er] and a so-called 'hacker' who seeks to cloak his activities with this defense. Section 102(g)(3) therefore contains a non-exhaustive list of factors a court shall consider in determining whether a person properly qualifies for the encryption research defense."); H.R. Rep. No. 105-796, 105th Cong. 2d Sess., at 67 (Oct. 8, 1998) ("[T]he scope of permissible security testing under the Act should be the same as permissible testing of a simple door lock: a prospective buyer may test the lock at the store with the store's consent, or may purchase the lock and test it at home in any manner that he or she sees fit ... What that person may not do, however, is test the lock once it has been installed on someone else's door, without the consent of the person whose property is protected by the lock.").

3. Anti-Trafficking Provisions

As emphasized in prior comments and reply comments, as well as in statements made at stakeholder roundtables earlier this year, the anti-trafficking prohibitions contained in Section 1201 are critically important to the members of AAP, ESA, MPAA and RIAA. In the words of the NOI, "because circumvention tools may be used for lawful and unlawful purposes alike, it would be impossible to ensure that tools manufactured and distributed pursuant to an exemption, once available in the marketplace, would be employed solely for authorized uses." 81 Fed. Reg. at 66,299. Accordingly, any diminishment in the scope of the prohibitions would have a deleterious impact on their effectiveness for preventing infringement and unauthorized access to works. Thus, AAP, ESA, MPAA and RIAA are highly skeptical of the statutory interpretations proffered by exemption proponents and mentioned in the NOI. These interpretations, even at this late stage in the proceeding, remain vague and unsubstantiated.

The NOI's request for comments on whether some forms of "third party assistance" fall outside the scope of the anti-trafficking prohibitions and are permissible under current law is particularly troubling. Although the Office does not provide citations to anything specific in the record, it appears the NOI alludes to testimony and comments by the Electronic Frontier Foundation arguing that if the objective of a service provider is not only to circumvent but also to enable a consumer to enjoy some level of access to a work to accomplish some goal that is

otherwise prevented by a technological measure, that service is not prohibited by Section 1201. *See* San Francisco May 25, 2016 Transcript at 181 (statement of Mr. Stoltz). Such a view would gut the statute. Of course, the end goal of trafficking in circumvention services is not the circumvention in and of itself. The goal is to enable unauthorized access to a copyrighted work such that it can be adapted, copied or enjoyed in ways that extend beyond the terms of use incorporated into the transaction by which the copy of the work was obtained. Reading the statute to allow all hacking services that market themselves as providing some benefit beyond circumvention for its own sake (i) would be inconsistent with congressional intent and (ii) would cause significant harm to copyright owners, including the members of AAP, ESA, MPAA and RIAA.

III. Conclusion

AAP, ESA, MPAA and RIAA look forward to reviewing the additional comments submitted by other interested parties and to continued participation in this proceeding.

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